Project Kestrel

Transaction Summary

($ in 000s)

Total Enterprise Value	55,083	7.0x x FY2025A Adj. EBITDA
Investor Entry Multiple (FY2025A)	7.0x	
Investor Entry Multiple (FY2026E)	6.3x	
Operating Case:	Management Case	
Financing Case:	Base Case - Senior + Mezz	
Step Up in Basis	Yes	
Rollover % of Proceeds	18.3%	
Exit:	5 Years	
Revolver drawn at close?	NO	

Sources and Uses of Funds ($ in 000's)

Uses	Amount	% of Total	x FY2026E EBITDA	Sources	Amount	% of Total	x EBITDA	Pricing
Cash Consideration	35,473	60.6%	4.1x	Revolver (undrawn) (1)	-	-	0.0x	Base + 3.00%
Repay Existing Debt	6,842	11.7%	0.8x	Term Loan A (2)	23,607	40.3%	2.7x	Base + 3.25%
Seller Note	4,000	6.8%	0.5x	Mezzanine Debt	7,869	13.4%	0.9x	11.00% cash + 2.00% PIK
Rollover Equity	8,868	15.1%	1.0x	Seller Note	4,000	6.8%	0.5x	6.00% PIK
Purchase Price	**55,183**	94.2%	6.3x	Rollover Equity	8,868	15.1%	1.0x	
Cash on Balance Sheet at Close	1,000	1.7%	0.1x	Sponsor Preferred Equity (3)(4)	12,815	21.9%	1.5x	8.00% accreting
Transaction Costs / Excess Cash	2,400	4.1%	0.3x	Sponsor Common Equity (3)(4)	1,424	2.4%	0.2x	
Total Uses	**58,583**	100.0%	6.7x	**Total Sources**	**58,583**	100.0%	6.7x	

Check: Total Sources - Total Uses (must be 0) -

(1) $8.0M revolving credit facility, undrawn at close; commitment fee on the unused portion.

(2) Senior leverage of 3.0x FY2025A Adj. EBITDA; full draw of the term loan A at close.

(3) Sponsor equity is 90% preferred (8% accreting) / 10% common; common is subject to 10% MEIP dilution.

(4) Sponsor equity may be syndicated to a co-investor consortium; Halvern retains control.

Project Kestrel

Deal Overview and Illustrative Returns Summary @ 7.5x Entry Multiple

($ in 000s)

Entry Multiple (x FY2025A Adj. EBITDA)	7.5x
Returns Inputs (linked to Model / Assump_CapStructure)	
FY2025A Adj. EBITDA	7,869
FY2030E EBITDA (exit year 5)	11,755
FY2028E EBITDA (exit year 3)	10,301
Debt raised at close (base case, fixed)	35,476
Transaction costs + cash to B/S + cash acquired	3,500
Net debt at FY2030E (excl. seller note; from Model) (2)	3,755
Seller note accreted balance at FY2030E	5,353
Net debt at FY2028E (excl. seller note; from Model)	16,537
Seller note accreted balance at FY2028E	4,764
Cumulative goodwill step-up tax savings through FY2028E	2,075
Preferred % of equity account	90.0%
Preferred accretion rate	8.0%
MEIP % of common profits	10.0%
Sponsor carried interest	20.0%
Purchase Price (Transaction Value)	59,018
Total Equity at Entry (Sponsor + Rollover)	27,042
Preferred Accreted at Exit (year 5)	35,760
Common Equity Invested	2,704

Five-Year Gross Return Profile (Sponsor + Rollover strip, net of MEIP) (1)

	Rev. CAGR	*Exit multiple ->*	**6.0x**	**6.5x**	**7.0x**	**7.5x**	**8.0x**
Exit-year EBITDA by case							
15% Rev CAGR Case	15.0%	*Exit EBITDA:*	15,827				
IRR			24.6%	26.7%	**28.7%**	30.5%	32.3%
MoIC			3.00x	3.26x	**3.53x**	3.79x	4.05x
10% Rev CAGR Case	10.0%	*Exit EBITDA:*	12,673				
IRR			18.8%	20.9%	**22.8%**	24.6%	26.3%
MoIC			2.37x	2.58x	**2.79x**	3.00x	3.21x
5% Rev CAGR Case	5.0%	*Exit EBITDA:*	10,043				
IRR			13.0%	15.0%	**16.9%**	18.6%	20.2%
MoIC			1.84x	2.01x	**2.18x**	2.35x	2.51x
Flat Rev CAGR Case	-	*Exit EBITDA:*	7,869				
IRR			7.1%	9.0%	**10.8%**	12.5%	14.1%
MoIC			1.41x	1.54x	**1.67x**	1.80x	1.93x
Management Case	8.4%	*Exit EBITDA:*	11,755				
IRR			16.9%	19.0%	**20.8%**	22.6%	24.3%
MoIC			2.19x	2.38x	**2.58x**	2.77x	2.97x

(1) Returns net of transaction expenses of $2,400k and net of the 10% MEIP; margin held at the FY2025A adj. EBITDA margin for the CAGR cases.

(2) Net debt at exit approximated as base-case (management case) net debt from the Model tab for every case.

Note: shaded column reflects the 7.0x base-case exit multiple carried in the Model tab; the 7.5x entry multiple above is the illustrative bid level.

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Transaction Summary

($ in 000s)

Operating Case Running: Management Case - Tax rate: 26%

Capital Structure Case: Base Case - Senior + Mezz w/ Seller Paper (3.0x Senior)

TRANSACTION SUMMARY - USES AND SOURCES OF FUNDS

USES OF FUNDS	Amount	% of Total	x EBITDA
Cash Consideration to Shareholders (incl. seller note	39,473	67.4%	5.0x
Repay Existing Debt	6,842	11.7%	0.9x
Rollover Equity	8,868	15.1%	1.1x
Earnout	-	-	0.0x
Rollover Debt	-	-	0.0x
Purchase Price	**55,183**	94.2%	7.0x
Cash on Balance Sheet at Close	1,000	1.7%	0.1x
Transaction Costs	2,400	4.1%	0.3x
Total Uses	**58,583**	100.0%	7.4x

SOURCES OF FUNDS	Amount	% of Total	x EBITDA	Pricing
Revolver	-	-	0.0x	-
Term Loan A	23,607	40.3%	3.0x	Base + 3.25%
Term Loan B	-	-	0.0x	-
Second Lien	-	-	0.0x	-
Senior Notes	-	-	0.0x	-
Mezzanine Debt	7,869	13.4%	1.0x	11.00% Fixed + 2.00% PIK
Seller Note	4,000	6.8%	0.5x	0.00% Fixed + 6.00% PIK
Subordinated Notes	-	-	0.0x	-
Other	-	-	0.0x	-
Total Debt	**35,476**	60.6%	4.5x	
Rollover Equity	8,868	15.1%	1.1x	
Sponsor Preferred Equity	12,815	21.9%	1.6x	8.00% accreting
Sponsor Common Equity	1,424	2.4%	0.2x	
Total Equity	**23,107**	39.4%	2.9x	
Total Sources	**58,583**	100.0%	7.4x	

Check: Total Sources - Total Uses (must be 0) -

Common Equity Ownership	
38.4%	
61.6%	
100.0%	

PURCHASE PRICE

Cash + Rolled Equity + Debt	51,183
Seller Debt	4,000
Total Purchase Price (excl. fees)	**55,183**

RETURNS

	FY2025A	FY2026E	FY2027E
Purchase Multiples			
x Revenue	*1.29x*	*1.20x*	*1.12x*
x EBITDA	*7.0x*	*6.3x*	*5.8x*
Unlevered Returns			
EBITDA / PP	14.3%	15.8%	17.3%
(EBITDA - Capex) / PP	12.1%	13.5%	14.8%

Gross IRR - New Common Equity	*Year 4*	*Year 5*	*Year 6*
Exit multiple	**FY2029E**	**FY2030E**	**FY2031E**
6.0x	72.2%	64.7%	57.7%
6.5x	81.9%	70.5%	61.6%
7.0x	**90.2%**	**75.6%**	**65.0%**
7.5x	97.6%	80.2%	68.2%
8.0x	104.2%	84.3%	71.0%

FINANCIAL SUMMARY

Pro Forma for the Transaction

	2024	2025	2026	2027	2028	2029	2030	2031	2032
FYE September 30,	**FY2024A**	**FY2025A**	**FY2026E**	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**	**FY2031E**	**FY2032E**
Revenue	40,516	42,624	46,034	49,348	52,556	55,709	58,773	61,712	64,489
% Growth	6.0%	5.2%	8.0%	7.2%	6.5%	6.0%	5.5%	5.0%	4.5%
Adj. EBITDA	7,923	7,869	8,746	9,524	10,301	11,030	11,755	12,342	13,027
% Margin	19.6%	18.5%	19.0%	19.3%	19.6%	19.8%	20.0%	20.0%	20.2%
Capex	1,116	1,175	1,289	1,382	1,472	1,560	1,646	1,728	1,806
% of Revenue	2.8%	2.8%	2.8%	2.8%	2.8%	2.8%	2.8%	2.8%	2.8%
Net Working Capital	5,053	5,128	5,668	6,000	6,453	6,885	7,310	7,452	7,902
% of Revenue	12.5%	12.0%	12.3%	12.2%	12.3%	12.4%	12.4%	12.1%	12.3%

FREE CASH FLOW

EBITDA	8,746	9,524	10,301	11,030	11,755	12,342	13,027
Other (management fee)	-	-	-	-	-	-	-
Capex	(1,289)	(1,382)	(1,472)	(1,560)	(1,646)	(1,728)	(1,806)
(Inc)/Dec in Working Capital	(357)	(332)	(453)	(432)	(425)	(142)	(450)
Cash Interest, net	(2,665)	(2,428)	(2,135)	(1,791)	(1,394)	(937)	(295)
Cash Taxes	(338)	(574)	(825)	(1,077)	(1,342)	(1,712)	(2,062)
Cash Available for Debt Service	**4,097**	**4,808**	**5,416**	**6,170**	**6,948**	**7,823**	**8,415**
Cumulative	4,097	8,905	14,321	20,492	27,440	35,263	43,677

DEBT BALANCES (END OF PERIOD)

	Closing							
Cash	1,100	1,918	2,683	3,369	4,089	4,838	6,831	8,123
Revolver	-	-	-	-	-	-	-	-
Term Loan A (incl. Term Loan B)	23,607	20,328	16,285	11,555	6,105	-	-	-
Second Lien	-	-	-	-	-	-	-	-
Total Secured Debt	**23,607**	**20,328**	**16,285**	**11,555**	**6,105**	**-**	**-**	-
Senior Notes	-	-	-	-	-	-	-	-
Total Senior Debt	**23,607**	**20,328**	**16,285**	**11,555**	**6,105**	**-**	**-**	-
% Cumulative Paydown	-	13.9%	31.0%	51.1%	74.1%	100.0%	100.0%	100.0%
Mezzanine Debt (incl. sub. notes / other)	7,869	8,026	8,187	8,351	8,518	8,594	2,935	59
% Cumulative Paydown	-	(2.0%)	(4.0%)	(6.1%)	(8.2%)	(9.2%)	62.7%	99.3%
Seller Note (accreted)	4,000	4,240	4,494	4,764	5,050	5,353	5,674	1,827
Total Debt	**35,476**	**32,594**	**28,966**	**24,670**	**19,672**	**13,947**	**8,609**	**1,886**
% Cumulative Paydown	-	8.1%	18.4%	30.5%	44.5%	60.7%	75.7%	94.7%

CREDIT STATISTICS

Total Senior Debt / EBITDA	2.32x	1.71x	1.12x	0.55x	0.00x	0.00x	0.00x
Total Debt / EBITDA	3.73x	3.04x	2.39x	1.78x	1.19x	0.70x	0.14x
(EBITDA - Mgmt Fee - Capex - Taxes) / (Principal + Cash Interest) (1)	1.41x	1.57x	1.77x	2.01x	2.31x	9.03x	25.24x
EBITDA / Cash Interest	3.27x	3.89x	4.76x	6.04x	8.19x	12.53x	35.90x
(EBITDA - Capex) / Cash Interest	2.79x	3.33x	4.08x	5.19x	7.05x	10.77x	30.93x

(1) FY2026E reflects projection from CIM; Fixed Charge Coverage per the senior credit agreement definition.

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Historical and Projected Income Statement

Operating Case Running: Management Case - Tax rate: 26%

($ in 000s)

Capital Structure Case: Base Case - Senior + Mezz w/ Seller Paper (3.0x Senior)

HISTORICAL AND PROJECTED INCOME STATEMENT

Fiscal Year Ended September 30,	**FY2024A**	**FY2025A**	**FY2026E**	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**	**FY2031E**	**FY2032E**
Total Revenue	**40,516**	**42,624**	**46,034**	**49,348**	**52,556**	**55,709**	**58,773**	**61,712**	**64,489**
% Growth	6.0%	5.2%	8.0%	7.2%	6.5%	6.0%	5.5%	5.0%	4.5%
Total COGS (excl. Depreciation)	26,224	28,098	29,922	31,978	33,951	35,933	37,850	39,743	41,466
% of Revenue	64.7%	65.9%	65.0%	64.8%	64.6%	64.5%	64.4%	64.4%	64.3%
Gross Profit	**14,292**	**14,526**	**16,112**	**17,371**	**18,605**	**19,777**	**20,923**	**21,969**	**23,023**
% Margin	35.3%	34.1%	35.0%	35.2%	35.4%	35.5%	35.6%	35.6%	35.7%
SG&A (excl. Amortization)	6,369	6,657	7,365	7,846	8,304	8,746	9,169	9,627	9,996
% of Revenue	15.7%	15.6%	16.0%	15.9%	15.8%	15.7%	15.6%	15.6%	15.5%
EBITDA	**7,923**	**7,869**	**8,746**	**9,524**	**10,301**	**11,030**	**11,755**	**12,342**	**13,027**
% Margin	19.6%	18.5%	19.0%	19.3%	19.6%	19.8%	20.0%	20.0%	20.2%
% Growth	13.8%	(0.7%)	11.2%	8.9%	8.2%	7.1%	6.6%	5.0%	5.5%
Depreciation & Amortization	1,104	1,153	1,243	1,332	1,419	1,504	1,587	1,666	1,741
% of Revenue	2.7%	2.7%	2.7%	2.7%	2.7%	2.7%	2.7%	2.7%	2.7%
Amort. of Transaction Fees			480	480	480	480	480	-	-
Adj. EBIT	**6,819**	**6,716**	**7,024**	**7,712**	**8,402**	**9,046**	**9,688**	**10,676**	**11,286**
% Margin	16.8%	15.8%	15.3%	15.6%	16.0%	16.2%	16.5%	17.3%	17.5%
Other Expenses (Management Fee)			-	-	-	-	-	-	-
Interest Expense:									
Revolver			-	-	-	-	-	-	-
Revolver Commitment Fee			40	40	40	40	40	40	40
Term Loan A			1,771	1,525	1,221	867	458	-	-
Term Loan B			-	-	-	-	-	-	-
Second Lien			-	-	-	-	-	-	-
Senior Notes / Sub. Notes / Other			-	-	-	-	-	-	-
Mezzanine (cash)			866	883	901	919	937	945	323
Mezzanine (PIK)			157	161	164	167	170	172	59
Seller Note (PIK)			240	254	270	286	303	321	340
Memo: Preferred Equity Accretion (excluded from total)			*1,664*	*1,797*	*1,941*	*2,096*	*2,263*	*2,445*	*2,640*
Total Interest Expense			**3,073**	**2,862**	**2,595**	**2,278**	**1,908**	**1,478**	**762**
Less: Interest on Cash Balance			11	19	27	34	41	48	68
Net Interest Expense			**3,062**	**2,843**	**2,568**	**2,244**	**1,867**	**1,430**	**694**
Pre Tax Income (Before NOL Utilization)			**3,961**	**4,869**	**5,833**	**6,802**	**7,821**	**9,246**	**10,592**
Less: Income Taxes			338	574	825	1,077	1,342	1,712	2,062
Net Income			**3,623**	**4,294**	**5,008**	**5,725**	**6,479**	**7,534**	**8,530**
% Margin			7.9%	8.7%	9.5%	10.3%	11.0%	12.2%	13.2%

Closing and Projected Balance Sheets

($ in 000s)

Operating Case Running: Management Case - Tax rate: 26%

Capital Structure Case: Base Case - Senior + Mezz w/ Seller Paper (3.0x Senior)

CLOSING AND PROJECTED BALANCE SHEETS

	Estimated 31-Jul-26 (1)	Adjustments (+)	Adjustments (-)	Pro Forma	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E
ASSETS											
Cash	100	1,000		1,100	1,918	2,683	3,369	4,089	4,838	6,831	8,123
Accounts Receivable	5,241			5,241	5,612	5,949	6,408	6,792	7,166	7,355	7,862
Inventory	4,912			4,912	5,083	5,388	5,767	6,153	6,481	6,805	7,044
Prepaid and Other Advances	618			618	598	642	683	724	764	802	838
Other	187			187	184	197	210	223	235	247	258
Total Current Assets	**11,058**	**1,000**	**-**	**12,058**	**13,396**	**14,858**	**16,437**	**17,981**	**19,484**	**22,040**	**24,125**
PP&E, net	9,874			9,874	9,920	9,969	10,022	10,078	10,136	10,198	10,263
Intangible Assets, net (2)	-			-	-	-	-	-	-	-	-
Investments in Affiliates	-			-	-	-	-	-	-	-	-
Transaction Expenses (capitalized)	-	2,400		2,400	1,920	1,440	960	480	-	-	-
Goodwill (2)	-	39,898		39,898	39,898	39,898	39,898	39,898	39,898	39,898	39,898
Total Assets	**20,932**	**43,298**	**-**	**64,230**	**65,134**	**66,166**	**67,317**	**68,437**	**69,519**	**72,136**	**74,286**
LIABILITIES											
Accounts Payable	2,538			2,538	2,541	2,672	2,884	3,052	3,163	3,375	3,522
Accrued Expenses	2,412			2,412	2,532	2,714	2,891	3,064	3,233	3,394	3,547
Accrued Product Liability	431			431	460	493	526	557	588	617	645
Other	266			266	276	296	315	334	353	370	387
Total Current Liabilities	**5,647**	**-**	**-**	**5,647**	**5,810**	**6,176**	**6,615**	**7,007**	**7,336**	**7,757**	**8,101**
Deferred Tax Liability	-			-	-	-	-	-	-	-	-
Deferred Taxes	-			-	-	-	-	-	-	-	-
Total Other Liabilities	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**
Existing Debt (repaid at close)	6,842		6,842	-	-	-	-	-	-	-	-
Revolver	-	-		-	-	-	-	-	-	-	-
Term Loan A (incl. TLB / Second Lien)	-	23,607		23,607	20,328	16,285	11,555	6,105	-	-	-
Seller Debt	-	4,000		4,000	4,240	4,494	4,764	5,050	5,353	5,674	1,827
Mezzanine Debt	-	7,869		7,869	8,026	8,187	8,351	8,518	8,594	2,935	59
Senior Notes	-	-		-	-	-	-	-	-	-	-
Subordinated Notes	-	-		-	-	-	-	-	-	-	-
Other Debt	-	-		-	-	-	-	-	-	-	-
Total Debt	**6,842**	**35,476**	**6,842**	**35,476**	**32,594**	**28,966**	**24,670**	**19,672**	**13,947**	**8,609**	**1,886**
Total Liabilities	**12,489**	**35,476**	**6,842**	**41,123**	**38,404**	**35,142**	**31,285**	**26,680**	**21,282**	**16,366**	**9,986**
EQUITY											
Old Equity (eliminated)	8,443		8,443	-	-	-	-	-	-	-	-
Seller Debt II	-			-	-	-	-	-	-	-	-
Retained Earnings	-			-	3,623	7,917	12,925	18,650	25,129	32,663	41,192
Rollover Equity	-	8,868		8,868	8,868	8,868	8,868	8,868	8,868	8,868	8,868
New Equity (Sponsor Preferred + Common)	-	14,239		14,239	14,239	14,239	14,239	14,239	14,239	14,239	14,239
Total Equity	**8,443**	**23,107**	**8,443**	**23,107**	**26,730**	**31,024**	**36,032**	**41,757**	**48,236**	**55,770**	**64,299**
Total Liabilities & Equity	**20,932**	**58,583**	**15,285**	**64,230**	**65,134**	**66,166**	**67,317**	**68,437**	**69,519**	**72,136**	**74,286**
Check: Assets - Liabilities & Equity (must be 0.000)	0.000			0.000	0.000	0.000	0.000	0.000	0.000	0.000	0.000

(1) Sponsor estimate based on interim balance sheets provided by the Company; subject to closing working capital adjustment.

(2) Actual goodwill / intangibles split subject to purchase price allocation (PPA).

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Projected Cash Flow Statement

Operating Case Running: Management Case - Tax rate: 26%

($ in 000s)

Capital Structure Case: Base Case - Senior + Mezz w/ Seller Paper (3.0x Senior)

PROJECTED CASH FLOW STATEMENT

	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	FY2032E
Net Income	3,623	4,294	5,008	5,725	6,479	7,534	8,530
Depreciation & Amortization	1,243	1,332	1,419	1,504	1,587	1,666	1,741
Amortization of Financing / Transaction Costs	480	480	480	480	480	-	-
PIK Interest - Mezzanine	157	161	164	167	170	172	59
PIK Interest - Seller Note	240	254	270	286	303	321	340
PIK Interest - Sub. Notes / Other	-	-	-	-	-	-	-
Total PIK Interest	**397**	**415**	**433**	**453**	**473**	**493**	**399**
Deferred Taxes	-	-	-	-	-	-	-
Operating Cash Flow	**5,743**	**6,522**	**7,341**	**8,162**	**9,019**	**9,693**	**10,670**
(Inc)/Dec in Accounts Receivable	(371)	(336)	(459)	(384)	(374)	(189)	(508)
(Inc)/Dec in Inventory	(171)	(305)	(379)	(386)	(328)	(324)	(238)
(Inc)/Dec in Prepaid	20	(43)	(42)	(41)	(40)	(38)	(36)
(Inc)/Dec in Other Current Assets	3	(13)	(13)	(13)	(12)	(12)	(11)
Inc/(Dec) in Accounts Payable	3	131	211	168	111	213	146
Inc/(Dec) in Accrued Expenses	120	182	176	173	169	162	153
Inc/(Dec) in Accrued Product Liability	29	33	32	32	31	29	28
Inc/(Dec) in Other Current Liabilities	10	20	19	19	18	18	17
Total Changes in Working Capital	**(357)**	**(332)**	**(453)**	**(432)**	**(425)**	**(142)**	**(450)**
Capital Expenditures	(1,289)	(1,382)	(1,472)	(1,560)	(1,646)	(1,728)	(1,806)
Change in Other Assets	-	-	-	-	-	-	-
Change in Other Liabilities	-	-	-	-	-	-	-
Cash For Debt Service	**4,097**	**4,808**	**5,416**	**6,170**	**6,948**	**7,823**	**8,415**
Cumulative	4,097	8,905	14,321	20,492	27,440	35,263	43,677
Total Scheduled Amortization:							
Revolver	-	-	-	-	-	-	-
Term Loan A	(2,361)	(2,361)	(2,361)	(2,361)	(2,361)	-	-
Term Loan B	-	-	-	-	-	-	-
Second Lien	-	-	-	-	-	-	-
Senior Notes	-	-	-	-	-	-	-
Mezzanine	-	-	-	-	-	-	-
Seller Note	-	-	-	-	-	-	-
Sub. Notes / Other	-	-	-	-	-	-	-
Total Scheduled Amortization	**(2,361)**	**(2,361)**	**(2,361)**	**(2,361)**	**(2,361)**	**-**	**-**
Earnout / Other Non-Recurring	-	-	-	-	-	-	-
Excess Cash Flow (1)	**1,837**	**3,365**	**4,738**	**6,179**	**7,677**	**11,661**	**14,245**
Voluntary Debt (Redemption) / Borrowing (1):							
Revolver Borrowing / (Repayment)	-	-	-	-	-	-	-
Term Loan A	(918)	(1,683)	(2,369)	(3,089)	(3,744)	-	-
Term Loan B	-	-	-	-	-	-	-
Second Lien	-	-	-	-	-	-	-
Senior Notes	-	-	-	-	-	-	-
Mezzanine	-	-	-	-	(94)	(5,831)	(2,935)
Seller Note (prepaid last, after mezzanine)	-	-	-	-	-	-	(4,188)
Sub. Notes / Other (no prepayment)	-	-	-	-	-	-	-
Total Voluntary Debt (Redemption) / Borrowing	**(918)**	**(1,683)**	**(2,369)**	**(3,089)**	**(3,838)**	**(5,831)**	**(7,123)**
Net Cash Flow	**818**	**764**	**686**	**720**	**749**	**1,992**	**1,292**
Beginning Cash Balance	1,100	1,918	2,683	3,369	4,089	4,838	6,831
Cash Balance (End of Period)	**1,918**	**2,683**	**3,369**	**4,089**	**4,838**	**6,831**	**8,123**
Memo: Minimum Cash Balance	1,000	1,000	1,000	1,000	1,000	1,000	1,000

(1) Reflects 50% excess cash flow sweep assumption (switch and % on Assump_CapStructure); applied to revolver, then term loans, then mezzanine, then the seller note.

Gross Returns Summary

Operating Case Running: Management Case - Tax rate: 26%

($ in 000s)

Capital Structure Case: Base Case - Senior + Mezz w/ Seller Paper (3.0x Senior)

GROSS RETURNS SUMMARY - EXIT IN YEAR 5 (FY2030E)

Exit Year EBITDA (FY2030E)	11,755						
Assumed Exit Multiple (x LTM EBITDA)	**6.0x**	**6.5x**	**7.0x**	**7.5x**	**8.0x**		
Enterprise Value	70,528	76,405	82,283	88,160	94,037		
Less: Total Debt (excl. Seller Note)	(8,594)	(8,594)	(8,594)	(8,594)	(8,594)		
Less: Seller Debt (Accreted Balance)	(5,353)	(5,353)	(5,353)	(5,353)	(5,353)		
Less: Preferred Equity (Accreted Balance)	(30,557)	(30,557)	(30,557)	(30,557)	(30,557)		
Plus: Cash	4,838	4,838	4,838	4,838	4,838		
Memo: Net Debt (incl. Seller Note)	9,108	9,108	9,108	9,108	9,108		
Equity Proceeds (before Preferred)	**61,420**	**67,297**	**73,174**	**79,052**	**84,929**		
Less: Preferred Return of Capital & Pfd Return	(30,557)	(30,557)	(30,557)	(30,557)	(30,557)		
Common Equity Proceeds	**30,863**	**36,740**	**42,618**	**48,495**	**54,372**		
PRE-OWNERSHIP: Less Rollover Common - Return of Capital	(887)	(887)	(887)	(887)	(887)		
PRE-OWNERSHIP: Less New Common - Return of Capital	(1,424)	(1,424)	(1,424)	(1,424)	(1,424)		
Profit Distribution	**28,552**	**34,430**	**40,307**	**46,184**	**52,062**		
Allocation of Common Equity Proceeds:							
Rollover Common Equity	10,749	12,779	14,809	16,839	18,869		
% of Common Proceeds	34.8%	34.8%	34.7%	34.7%	34.7%		
Management Common Equity (MEIP 10% of profits)	2,855	3,443	4,031	4,618	5,206		
% of Common Proceeds	9.3%	9.4%	9.5%	9.5%	9.6%		
New Common Equity (Before Carry)	17,259	20,518	23,778	27,037	30,297		
% of Common Proceeds	55.9%	55.8%	55.8%	55.8%	55.7%		
Total Common Equity Proceeds	**30,863**	**36,740**	**42,618**	**48,495**	**54,372**		
		1	*2*	*3*	*4*	*5*	*6*
New Common Equity Gross IRR (Before Carry) - by exit multiple and exit year	**Cmn Equity Invested**	**FY2026E**	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**	**FY2031E**
@ 6.0x exit multiple	1,424	n.m.	63.5%	78.3%	72.2%	64.7%	57.7%
@ 6.5x exit multiple	1,424	54.7%	112.8%	97.3%	81.9%	70.5%	61.6%
@ 7.0x exit multiple	1,424	225.1%	152.6%	113.2%	90.2%	75.6%	65.0%
@ 7.5x exit multiple	1,424	395.4%	187.0%	127.0%	97.6%	80.2%	68.2%
@ 8.0x exit multiple	1,424	565.7%	217.7%	139.3%	104.2%	84.3%	71.0%
New Common Equity Gross IRR (Before Carry) - Year 5 (FY2030E) exit	**64.7%**	**70.5%**	**75.6%**	**80.2%**	**84.3%**		
New Common Equity MoIC (Before Carry) - Year 5 (FY2030E) exit	**12.12x**	**14.41x**	**16.70x**	**18.99x**	**21.28x**		
New Investor Common Equity Invested	1,424	1,424	1,424	1,424	1,424		
New Investor Common Equity Proceeds	17,259	20,518	23,778	27,037	30,297		
Common Equity IRR	64.7%	70.5%	75.6%	80.2%	84.3%		
Common Equity MoIC	12.12x	14.41x	16.70x	18.99x	21.28x		
New Investor Preferred Equity Invested	12,815	12,815	12,815	12,815	12,815		
New Investor Preferred Equity Proceeds	18,829	18,829	18,829	18,829	18,829		
Preferred Equity IRR	8.0%	8.0%	8.0%	8.0%	8.0%		
Preferred Equity MoIC	1.47x	1.47x	1.47x	1.47x	1.47x		
New Investor Total Equity Invested (Pfd + Cmn)	14,239	14,239	14,239	14,239	14,239		
New Investor Total Equity Proceeds (Pfd + Cmn)	36,088	39,348	42,607	45,867	49,126		
Total New Investor Equity Gross IRR (Before Carry)	**20.4%**	**22.5%**	**24.5%**	**26.4%**	**28.1%**		
Total New Investor Equity MoIC (Before Carry)	**2.53x**	**2.76x**	**2.99x**	**3.22x**	**3.45x**		

Working Capital

Operating Case Running: Management Case - Tax rate: 26%

($ in 000s)

Capital Structure Case: Base Case - Senior + Mezz w/ Seller Paper (3.0x Senior)

WORKING CAPITAL

	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Accounts Receivable	5,612	5,949	6,408	6,792	7,166	7,355
Days	44.5	44.0	44.5	44.5	44.5	43.5
% of Revenue	12.2%	12.1%	12.2%	12.2%	12.2%	11.9%
Inventory	5,083	5,388	5,767	6,153	6,481	6,805
Days (on COGS)	62.0	61.5	62.0	62.5	62.5	62.5
Prepaid and Other Advances	598	642	683	724	764	802
% of Revenue	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%
Other Current Assets	184	197	210	223	235	247
% of Revenue	0.4%	0.4%	0.4%	0.4%	0.4%	0.4%
Total Current Assets	**11,478**	**12,176**	**13,068**	**13,892**	**14,646**	**15,209**
Accounts Payable	2,541	2,672	2,884	3,052	3,163	3,375
Days (on COGS)	31.0	30.5	31.0	31.0	30.5	31.0
Accrued Expenses	2,532	2,714	2,891	3,064	3,233	3,394
% of Revenue	5.5%	5.5%	5.5%	5.5%	5.5%	5.5%
Accrued Product Liability	460	493	526	557	588	617
% of Revenue	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Other Current Liabilities	276	296	315	334	353	370
% of Revenue	0.6%	0.6%	0.6%	0.6%	0.6%	0.6%
Total Current Liabilities	**5,810**	**6,176**	**6,615**	**7,007**	**7,336**	**7,757**
Net Working Capital	**5,668**	**6,000**	**6,453**	**6,885**	**7,310**	**7,452**
Change in NWC (increase = use of cash) (1)	540	332	453	432	425	142
% of Revenue	12.3%	12.2%	12.3%	12.4%	12.4%	12.1%

TAXES

Pre Tax Income Prior to Step Up and NOL Utilization	3,961	4,869	5,833	6,802	7,821	9,246
Less: Step Up Amortization Tax Shield (goodwill / 15 yrs)	(2,660)	(2,660)	(2,660)	(2,660)	(2,660)	(2,660)
Less: NOL Utilization	-	-	-	-	-	-
Net Adjusted Pre Tax Income	**1,301**	**2,209**	**3,174**	**4,142**	**5,161**	**6,586**
Federal & State Taxes	**338**	**574**	**825**	**1,077**	**1,342**	**1,712**
Summary of NOL Carryforwards:						
NOL - Beginning of Year	-	-	-	-	-	-
Additions (pre-tax losses)	-	-	-	-	-	-
Subtractions (utilization)	-	-	-	-	-	-
NOL - End of Year	-	-	-	-	-	-

CALCULATION OF GOODWILL

Equity Purchase Price	48,341					
Less: Book Equity Acquired	(8,443)					
Goodwill (2)	**39,898**					
Goodwill Tax Amortization (15 yrs, annual)	2,660		*692*	*<- Annual Step Up Amort Tax Shield*		
Tax Savings from Step Up	692	692	692	692	692	692
Cumulative Tax Savings	692	1,383	2,075	2,766	3,458	4,149

(1) Full fiscal-year change versus FY2025A net working capital of 5,128; the Free Cash Flow and Cash Flow Statement pages show the post-closing change versus the 31-Jul-26 closing balance sheet (5,311), i.e. (357) in FY2026E.

(2) Goodwill vs. identifiable intangibles split to be determined in opening balance sheet accounting; shown in goodwill for simplicity (see Closing and Projected Balance Sheets).